

HOUSE BILL 2462

By Pearson

AN ACT to amend Tennessee Code Annotated, Title 2;
Title 3; Title 4; Title 8 and Title 48, relative to
investments by public officials.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 48, Chapter 1, Part 1, is amended by
adding the following as a new section:

(a) As used in this section:

(1) "Covered investment":

(A) Means a direct investment in a stock, commodity, future, or
other similar and comparable economic investment through a derivative,
option, or similar asset;

(B) Means an indirect investment in an investment fund, a trust,
an employee benefit plan, or a deferred compensation plan; and

(C) Does not include a diversified mutual fund, a diversified
exchange-traded fund, treasury bonds, or compensation from or an
interest in a public or private retirement plan; and

(2) "Public official" means the governor, a member of the general
assembly, or a representative elected from this state to the United States senate
or house of representatives, including a person who is appointed to fill a vacancy
in such office.

(b)

(1) A public official or the spouse of a public official who owns or holds a
covered investment shall:

(A) Divest the covered investment; or

(B) Place the covered investment in a blind trust.

(2) A public official and the spouse of the public official shall comply with subdivision (b)(1) by October 1, 2026, or for newly elected or appointed public officials and their spouses, not later than ninety (90) days after the public official takes the oath of office.

(c) Upon compliance with subsection (b), a public official and the spouse of the public official shall submit a certificate of compliance to the commissioner on a form prescribed by the commissioner, and shall provide a copy to the secretary of state.

(d) A public official or the spouse of the public official may seek an extension from the commissioner of not more than forty-five (45) days to comply with subsection (b) and the commissioner may grant the extension for good cause shown.

(e) The commissioner may impose a civil penalty of not more than one thousand dollars (\$1,000) for a violation of this section. Each day for which a violation occurs constitutes a separate offense.

(f) The commissioner may promulgate rules to carry out this section and specify the assets that are deemed covered investments. Rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.